

BNP: BNP Paribas S.A.

Valuation Discount · Income Engine · Resilient Fundamentals

NTM P/E	LTM P/E	Price / Book	Div. Yield
7.80x	8.60x	0.78x	6.6%
Deep value	Historical	22% disc. to book	+14.4% DPS YoY
Value Rank	Growth Rank	EPS CAGR 2Y Fwd	ROE 2026E
79/100	64/100	+7.6%	10.77%
Top 20% in EU universe	EU universe	Forward estimate	vs 9.6% LTM

THE QUANTITATIVE VALUE CASE FOR BNP PARIBAS

The market loves chasing high-multiple growth stories, but true alpha is often hidden in plain sight. BNP Paribas S.A. presents a compelling case for a deep-value, high-yielding compounder. With a **Value Rank of 79/100** — placing it in the **top 20% of the European universe** — and a 6.6% dividend yield at single-digit forward earnings multiples, BNP is exactly the kind of institutional-grade opportunity our quantitative models are designed to surface across 3,700+ European equities.

1 · The Valuation Disconnect — Deep Discount

You are effectively buying one of Europe's largest, most systemically important banking institutions at a meaningful discount to intrinsic value.

- **Compressed Multiples:** NTM P/E of **7.80x** and LTM P/E of **8.60x** — deep-value territory for a franchise of this scale and systemic importance.
- **Book Value Discount:** Price-to-Book of **0.78x** — buying one of Europe's largest banks at a 22% discount to its book value. The margin of safety is substantial.
- **Re-Rating Potential:** As earnings compound and ROE expands toward peer levels, multiple normalisation alone represents a significant source of total return.

2 · Robust Capital Returns — The Income Engine

Value investing is not just about low multiples — it is about being paid while you wait for the re-rating.

- **Stellar Dividend Yield:** **6.6%** current yield — one of the highest in European large-cap banking.
- **Growing Payout:** Dividend per share expanding from €5.16 to €5.91 — a **+14.4% YoY** increase, signalling management's confidence in the earnings trajectory.
- **Net Income Scaling:** Net Income projected to grow from €12,225M to **€13,283M** — a credible and well-covered expansion of the income base.

3 · Resilient Fundamentals — Not a Value Trap

Many value stocks are cheap because they are broken. BNP Paribas is not.

■ **ROE Expansion:** Return on Equity steady at 9.6% LTM and projected to structurally improve to **10.77%** — a meaningful step toward premium multiple territory.

■ **Book Value Creation:** Book Value per share growing from €104.30 to **€111.20 (+6.6% YoY)** — constant intrinsic value generation quarter after quarter.

■ **Earnings Stability:** Forward 2-Year EPS CAGR of **+7.6%** — this is not a declining legacy business but a highly efficient cash machine with structural growth.

The Bottom Line

With a 6.6% dividend yield, a single-digit forward earnings multiple, and a 22% discount to book value, BNP Paribas is the perfect antidote to market over-exuberance. A Value Rank of 79/100 places it firmly in the top 20% of the European universe — flagged by our quantitative models as a high-conviction value name among 3,700+ European equities. This is exactly how our models filter real value from value traps: stop guessing, start calculating.

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